

SENATE BILL 1470

By Walley

AN ACT to amend Tennessee Code Annotated, Title 9;  
Title 29; Title 36 and Title 37, relative to liability of  
certain entities.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 37, Chapter 2, Part 4, is amended by  
adding the following new section:

(a) As used in this section, "entity" means a nonprofit organization that contracts with the department of children's services to provide services as a single source continuum contractor under this title or a nonprofit organization that contracts with the department or with a single source continuum contractor to provide community-based care or child welfare services.

(b) Except as provided in subsections (c) and (d), an entity may not be held liable for damages resulting from an act or omission of a person who is an employee or volunteer of the entity or a caregiver providing services on behalf of the entity if, at the time of the act or omission giving rise to the claim, the entity has:

(1) Conducted timely criminal background checks for the person as required by law;

(2) Before hiring, contracting with, or otherwise enlisting the services of the person and then at least once every five (5) years, confirmed the person is not listed in the department of health's registry of persons who have abused, neglected, or misappropriated the property of vulnerable persons, established by title 68, chapter 11, part 10, or a similar registry or database from another state;

(3) Reported any known allegation of misconduct by the person as required by law;

(4) Taken timely and proportionate administrative or personnel action in response to deficiency in the performance of duties by the person; and

(5) Required the person to complete training for:

(A) Child sexual abuse prevention at least once every five (5) years; and

(B) The reporting of child abuse and neglect.

(c) An entity may be held vicariously liable by a claimant on the basis of services received from the entity for the act or omission of a person who is an employee or volunteer of the entity or a caregiver providing services on behalf of the entity only if the claimant shows:

(1) The entity was not in substantial compliance with a requirement described in subsection (b) at the time of the act or omission giving rise to the claim;

(2) The requirement was designed to prevent the specific type of harm alleged to have occurred; and

(3) The entity's failure to be in substantial compliance with the requirement was a contributing factor in bringing about the harm.

(d) Subsection (b) does not affect the liability of an entity for damages resulting from the gross negligence of the entity.

(e) This section does not limit:

(1) The liability of an entity for a claim otherwise authorized by state or federal law; or

(2) The ability of a governmental entity to take administrative, regulatory, or prosecutorial action against an entity.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it.